

4-5i Step 9. Journalizing and Posting Closing Entries

As described earlier in this chapter, two closing entries are required at the end of an accounting period. These two closing entries are as follows:

Closing Entry (1):	Debit each revenue account for its balance, credit each expense account for its balance, and credit (net income) or debit (net loss) the retained earnings account.
Closing Entry (2):	Debit the retained earnings account for the balance of the dividends account, and credit the dividends account for its balance.

The two closing entries for Kelly Consulting are shown in [Exhibit 16](#). The closing entries are posted to Kelly Consulting’s ledger as shown in [Exhibit 18](#). After the closing entries are posted, Kelly Consulting’s ledger has the following characteristics:

- The balance of Retained Earnings of \$12,300 agrees with the amount reported on the statement of stockholders’ equity and the balance sheet.
- The revenue, expense, and dividends accounts will have zero balances.

Exhibit 16				
Closing Entries, Kelly Consulting				
Journal			Page 4	
Date	Description	Post.Ref.	Debit	Credit
20Y8	Closing Entries			

Date	Description	Post.Ref.	Debit	Credit
Apr. 30	Fees Earned	41	23,450	
	Salary Expense	51		1,620
	Rent Expense	52		1,600
	Supplies Expense	53		850
	Depreciation Expense	54		330
	Insurance Expense	55		300
	Miscellaneous Expense	59		450
	Retained Earnings	32		18,300
30	Retained Earnings	32	6,000	
	Dividends	33		6,000

The closing entries are normally identified in the ledger as “Closing.” In addition, a line is often inserted in both balance columns after a closing entry is posted. This separates next period’s revenue, expense, and dividend transactions from those of the current period.